

Strike Resources Limited SRK

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by

dannydanger

			2026	2027
Price:	0.02	EPS	-\$0.0101	0
Shares Out. (in M):	283,750	P/E	-2.18	0
Market Cap (in \$M):	7	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	5	TEV/EBIT	0	0

Description

Warren Buffett once said that he's a much bigger fan of one-foot bars to walk over rather than the proverbial seven-foot bars that one must leap over. Strike Resources, listed on the Australian Stock Exchange, is quite literally a one-foot bar to step over, and hopefully I won't trip up.

Strike Resources (SRK) is a small Australian mineral exploration company that has two core undertakings that perpetuate its existence.

Firstly, it holds a 27.69% interest in ASX-listed LE Minerals Limited (LEL).

Secondly, it has an 80% interest in the Apurimac Iron Ore Project. This is a mildly speculative Iron exploration project that is based in the southern highlands in Peru.

Strike Resources built up its 31,010,000-share interest in LEL at its IPO in 2021, where it subscribed for substantial shares in the company. At the time, LEL was an extremely speculative IPO that sought to raise capital to develop the Solaroz Lithium project in Argentina and its Graphite projects in Queensland, Australia. Either the projects came up with no mineral prospects, leaving the company stuck with a worthless hole in the ground. Or the projects showed signs of life and the company could either develop them or sell them off for a return on their investment.

Fast forward to 2025, the Argentine lithium project was a massive success. LEL sold the Solaroz project to Chinese mineral company CNGR Advanced Material for US\$63 million or AUD\$90 million, compared with a total IPO investment of AUD\$9 million. The final tranche of this payment was paid in December 2025.

One should also note that there is a deferred consideration of USD\$4.5 million or AUD\$6.9 million if lithium benchmark prices exceed USD\$23,000/tonne averaged over any four months between 29 April 2025 and 15 December 2026. I treat this as a free option. If they happen, it is fantastic. If they don't, the valuation made sense anyway, as you will see below.

Because LEL disposed of its main undertaking, its shares were suspended from trading on the ASX until it could demonstrate sufficient operations to justify a continued listing. The shares were suspended from the 25th of October 2024 until the 16th of March 2026. During this period, shareholders lost all liquidity in their investment for 507 days. Since its relisting in March, I believe shareholders have been seeking to capitalize on the newfound liquidity that they have been deprived of. I would not be surprised if shareholders were selling regardless of underlying business value. Simply hoping to get out after being locked up for so long.

LE Minerals Limited today has approximately \$0.539 per share of cash on the books according to its quarterly ASX filing released on the 31st of July 2026. The cash is from the Solaroz sale proceeds. This cash position is compared with a market price of \$0.32 per share. In other words, the company has AUD\$60.4 million in cash, but the market is valuing the entire company at approximately \$37 million. You'd be buying a dollar bill for 60 cents. Total liabilities for the company are AUD\$2.6 million according to their half-year report released on the 9th of March before re-quotations of its securities.

Based on the net cash per share alone, LEL, and consequently SRK's 27.69% stake, seem rather undervalued. But we must consider the three other mineral exploration projects that LEL has part or full ownership over to conclude our evaluation of its asset base.

LEL has a 100% interest in all its graphite projects in Queensland, and its lithium project in Utah, U.S.A. LEL also has a 51% ownership interest in its gold projects in Queensland, with the right to increase that ownership to 100% by April 2027.

In light of being conservative, and my inability to conduct complex geological analysis, I wrote all these potentially speculative projects down to zero, except one. On the 26th of May 2026, LEL announced to the ASX that it was selling its Graphite projects to M Battery Minerals (MBM) for \$20 million. The consideration was \$5 million in cash and \$15 million in MBM stock after its intended IPO on the ASX. LEL also plans to distribute this MBM stock consideration directly to shareholders via a spin-off. Knowing Mr Greenblatt's love of spin-offs, I know this will be a cherry on top for him.

Right now, the market is valuing LEL like the cash is already half spent, the graphite sale won't happen, and all the other mineral projects are worthless.

I treat the other two mineral projects as free options.

Below is a consolidated valuation for LEL.

LE Minerals Limited - LEL - Valuation	Current Market Price - \$0.32 p/s
Net Cash Alone	\$0.539 p/s
Net Cash + Graphite Project Sale	\$0.718 p/s
Net Cash + Graphite Project Sale + Potential Value for Additional Mineral Assets	\$0.719 p/s or more

Now I will move on to the valuation of SRK, which is the primary security of focus.

The market is pricing each share of SRK at \$0.023, implying a market cap of AUD\$6.5 million.

At current below-net-cash market prices for LEL stock (\$0.32 p/s), SRK's 31,010,000 shares or its 27.69% interest in LEL is valued at AUD\$9.9 million. Already 52% more than the total market cap of SRK. I am carrying the LEL stake at its more conservative market price of \$0.32 per share. Despite my belief that a fairer valuation of \$0.539 per share is better suited based on LEL's net cash position.

Since SRK owns 27.69% of LEL, 27.69% of LEL's cash pile is effectively SRK's legal property. That equates to AUD\$16,716,133.37, despite the AUD\$6.5 million market cap. But don't forget about the rest of the company's assets.

SRK has agreed to sell a 28.52% interest in its Apurimac Iron Ore project for AUD\$5.5 million cash. This was announced on the 17th of March 2026 on the ASX. A \$5.5 million price tag for 28.52% of the project implies an AUD\$19.28 million valuation for the entire project. Though I do not carry it at this level on the valuation guide below. I only consider the potential cash consideration. As per the most recent quarterly filing released on the 31st of July 2026, the sale is virtually complete, 'pending satisfaction of conditions precedent'. This refers to the financing facility relating to the mineral project and other negligible concerns for our valuation of SRK.

Additionally, SRK's equity interest in LEL entitles it to the potential distribution of MBM shares upon sale of the graphite project and listing of MBM shares. SRK's 27.69% interest entitles it to AUD\$4.15 million worth of stock, assuming the asset sale progresses as planned.

Strike Resources also has AUD\$1.3 million of its own cash on the books according to its last quarterly filing released on the 31st of July 2026. Total liabilities are sitting at AUD\$812,485 according to its half-year report released to the ASX on the 16th of March 2026.

This accounts for the entire asset profile of SRK.

By pricing SRK at approximately half of the value of its LEL stake, the market is ascribing no value at all to the Peruvian project or its potential sale proceeds. Nor is it assigning any value to the other half of its LEL stake, or any value for the anticipated spin-off entitlement.

Below is a consolidated valuation for SRK.

Strike Resources Limited - SRK - Valuation	Current Market Price - \$0.023 p/s
<i>Net 27.69% LEL Stake @ Market Value \$0.32 p/s</i>	<i>\$0.0317 p/s</i>
<i>Net LEL Stake @ \$0.32 p/s + Apurimac Project Sale Proceeds (\$5.5mIn)</i>	<i>\$0.0511 p/s</i>
<i>Net LEL Stake @ \$0.32 p/s + Apurimac Project Sale Proceeds + MBM Graphite Spin-off Shares</i>	<i>\$0.06570 p/s</i>
<i>Net LEL Stake @ net cash valuation of \$0.539 p/s + Apurimac Project Sale Proceeds + MBM Graphite Sale Shares</i>	<i>\$0.0928 p/s</i>
 <i>SRK's Cash Position</i>	 <i>\$0.004581 p/s</i>

I will let the reader choose the probability of which specific sale events or spin-offs will occur. But based on the above calculations, you get vastly varying amounts of potential value ascribed to SRK shares. None of which are below the current market price that prevails at \$0.023 per share. Downside protection is innate.

Obviously, the valuation of SRK will float with the cash levels at LEL.

Risks.

The largest risks here would be cash burn at LEL's level, asset sales and IPO's not materializing, and worthless mineral projects.

LEL could spend all the cash on a foolish acquisition, or on mineral projects that turn out worthless.

Asset sales may fall through, leaving LEL and SRK holding projects that do not generate any cash flow and may require substantial capital expenditures to develop and sell onwards.

MBM shares may not get to the IPO stage, hence nullifying the sale agreement and any proceeds that may occur.

Based on my conservative valuations presented above, I have factored the risk in by writing down speculative mineral projects to zero, and by valuing securities below their net cash. I believe that there is sufficient downside protection built into the price of Strike Resources and LE Minerals because of the large inbuilt margin of safety. All of the asset sales and the MBM IPO can go wrong, LEL can lose half the cash pile, and it is still very hard to lose money based on current prices. Simply because prices have already assumed the above has happened. What's to lose if it happens?

Despite the market's expectations, a whole host of good things can happen to the stock. Management can distribute the cash. Asset sales, or at least some of them, can go through. The IPO can happen as anticipated. Projects that have been personally written to zero could be worth something. Commodity prices can change and make mineral projects commercial or worth more. Any one of these catalysts could nearly double the stock, since expectations are so abysmal.

LEL management stated in an ASX filing released on the 16th of March 2026 titled 'Pre-Reinstatement Disclosures' their plans for the cash balance. Although they do plan to spend AUD \$36 million gradually over the next two years on project exploration. They also stated that come the 30th of September 2026, they will review all the company's projects, their feasibility, and what to do with any surplus funds they identify. The market seems to have gotten ahead of itself, valuing the company like the cash is already spent and two years has already elapsed. Even though spending plans could change, or even a partial distribution could occur and take out most of the cost base here. The formal announcement will come on the 30th of October 2026, as per the below extract.

In some ways, investors might want the projects to turn out poorly, since the chances of distributing cash back to the shareholders would be greater. As management is unlikely to continue to pour money into projects that have not passed the feasibility test to be conducted in September. However, if the projects do turn out to be of good concern, equity holders get that upside too. Heads I win, tails I win.

Management personnel include Victor Ho, Farooq Khan, and William Johnson. They hold shares representing 1.27%, 1.29%, & 1.37% respectively of the company. Perhaps they want a cash distribution to enrich themselves by approximately \$800,000 AUD each, assuming \$0.53 p/s in cash held at LEL. Don't forget about the options that they hold on the company too. Each of these individuals holds 6,000,000 of executive options with a strike price of \$0.60. Only 7 or so cents below the net cash value of \$0.53 p/s. Pair that with the Graphite project sale, and these options are well in the money and worth a good deal of money. Management could make themselves a small fortune with a few corporate actions. Hence, managerial incentives seem aligned with other equity holders.

After Lithium Energy has completed the above reviews, the Company expects that it will be in a position to identify the extent of any surplus funds held and will advise the market thereafter (expected by 30 October 2026) how it proposes to deal with any surplus funds at that time.

I will end with a quote from Warren in his early partnership years writing about what he called 'Generals', or generally undervalued securities.

"It is difficult at the time of purchase to know any specific reason why they should appreciate in price.

However, because of this lack of glamour or anything pending which might create immediate favourable market action, they are available at very cheap prices.

This individual margin of safety, coupled with a diversity of commitments, creates a most attractive package of safety and appreciation

potential.”

Although with some cheap stocks you don’t really know what might cause its price to appreciate. What you do know is that it is cheap, and that good things tend to happen to cheap stocks. Certainty isn’t needed in the securities business, only the tolerance of uncertainty.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Asset sales, cash/stock distributions, IPO, mineral project value, positive commodity value changes.

Messages

Subject Subscale
Entry 08/15/2026 12:03 PM
Member Hanseatc

There are AUD 1.6m admin costs p.a. compared with a combined management stake of just around AUD 250k market value. Doubt that you will see any cash distribution and your best case is hoping for a takeover otherwise you are stuck with a subscale explorer thst is spending 1\$ in admin for every \$ they put in the ground.

Subject Re: Subscale
Entry 08/15/2026 04:59 PM
Member dannydanger

Agree that this is a business that you wouldn't want to hold for a very long time. This is more of a small-cap, inefficiently priced Grahamite type of stock. Bad business, but available at a very attractive price. I don't like the admin expenses, but I do like the price, and I believe the entry price protects against such a risk.

Even though the board has shrunk over the years, admin expenses are still out of line.

Agree that managements stake isn't substantial in SRK, but is substantial in LEL. And most of SRK's value is tied to LEL. One should also note that SRK has substantial stakes of its shareholding owned by other ASX listed companies named OEQ, BEL, & QUE, either directly or indirectly. These companies are also operated by the same management crew. So they might not want to wring SRK too hard as that decreases the NTA in other companies they manage. And you can't manage an investment company (and get paid your precious salary) with no NTA. Quite frankly, most of these companies are redundant and are a result of legacy dealings. But redundant doesn't mean valueless. Only that the corporate structure needs to be tidied up. No cheap stock is without 'hair'. I believe it's more about what 'hair' is sufficiently tolerable for investment purposes.

You're probably right that a liquidation distribution might not happen. But the market is already betting that won't happen and worse. Even if the liquidation distribution doesn't happen, we have a few other routes to success. These would primarily be via the Peruvian asset sales and the MBM IPO.

Subject Re: Re: Subscale
Entry 08/18/2026 11:01 AM
Member Light62

I tend to agree with Hanseatc. It seems *very* unlikely to me that this Farooq Khan guy set up this crazy daisy chain of control and undervalued listed entities with overlapping directors and duplicative overheads with the intent to be good to shareholders. With LEL as just one example the directors each own ~1% of the Company directly (roughly AUD\$300k at market) but are getting paid cash of AUD\$150-330k (plus 10% superannuation) and were most recently granted 18 million options (14% of S/O) with a 4 year term. It appears that the vote to issue those options wouldn't have passed if Strike Resources didn't vote its 31m shares in favor (would've been 3m for vs. 7m against; well, more like a few hundred thousand for vs. 7m against if they actually followed the letter of the regulations - see below). The fact that the SAME directors are instructing Strike resources to vote its shares in favor of their compensation package at LEL disgusts me personally, and, I think, is strong evidence that these guys are not focused on shareholders. I don't think a big gulf between market price and liquidation value is sufficient in a situation like this particularly when, as Hanseatc says, it's subscale (and pretty illiquid) and thus hard for an activist to have a run at it.

After going through this I realized that Jeremy Raper has already brought this issue to their attention. They appear to have ignored his letter of May 29, 2026 as a presentation issued 7/31/2026 states the options were issued. So, again, not a good sign. I don't know what Jeremy's plans are but maybe he's what makes this work.

Jeremy, in case you read this it seems clear that for the option grants each of the directors voted their own shares in favor of the other directors' grants (while not voting on their own grant). The differences between the TOTAL shares voted for Resolution 1 (name change) and R3/R4/R5 correspond with the number of shares held by the director being granted equity in R3/R4/R5. They should have excluded the shares of ALL directors who were eligible to receive awards. From the proxy "Voting Exclusion: Under the ASX Listing Rules, the Company will disregard **any votes cast in favour of Resolution 3 [4 or 5] by a person referred to in Listing Rule 10.14.1, 10.14.2 or 10.14.3 who is eligible to participate in the Company's Employee Awards Plan or their associates**" All three directors are such people. Now, obviously, I don't think they should have voted the Strike shares but, there, I think they could present arguments as to why Strike can vote its shares (maybe they got a 3rd party to advise them or something who knows) but this was a pretty clear violation of a black line rule which, while it doesn't change the outcome, could be useful to pursue to demonstrate their governance failures, demand information, etc. Figured I'd share in case you weren't aware of it and were still pursuing it.